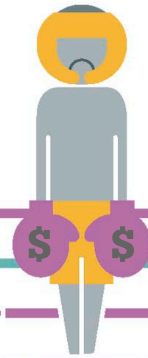
International currency fluctuations

Exchange rates fluctuate according to supply and demand. If one country has a stronger, more stable economy than its trading partners, then its currency will be valued more highly.



How it works

A country's economic conditions change from day to day, which is why exchange rates also fluctuate continuously. These currency fluctuations are determined in foreign exchange markets around the globe when currencies are traded (a buyer selling one currency to buy another).

Buyers base their trading decisions primarily on the performance of a country's economy. They examine real-time data such as interest rates, and political and commercial events that will affect economic performance—such as elections, the crash of a financial institution, or news of increased investment in manufacturing facilities. Four key economic factors—gross domestic production (GDP), inflation, employment, and interest rates—indicate how well a country's economy is performing, and determine its exchange rates.

Political stability is also crucial. If investors fear that a government is not capable of managing its country's economy, they will lose confidence, sell their investments in that country, and exchange the local currency for other currencies. This in effect pushes down the value of the local currency by increasing the supply of it and reducing the demand for it.

Weak currency

These economic factors—either by themselves or combined with each other—can trigger a fall in the value of a country's currency.

LOW INTEREST RATES
Low rates encourage domestic growth, but do not attract investors to buy currency.

HIGH INFLATION
Inflation increases the cost of export goods, lowering demand for them and for the exporter's currency.

FALLING GDP
Shrinking production indicates that demand for a country's exports, and so for its currency, has fallen.

HIGH UNEMPLOYMENT
Rising unemployment may signal falling production and a lack of competitiveness.

LOW CONFIDENCE
Nervous investors sell local currency and so depress the exchange rate.

NEED TO KNOW

- **Dovish** A cautious government monetary policy that encourages lower interest rates.
- **Hawkish** An aggressive government monetary policy that is likely to lead to higher interest rates.
- **Capital flight** The movement of money invested in one country's currency to another; usually caused by a drop in investor confidence.

Currency fluctuations

The state of the economy in any country will dictate whether its currency will rise or fall against other currencies. Interest rates, inflation, productivity, and employment will all have a bearing on currency. Investor confidence also affects exchange rates—investors favor countries with a sound political regime, efficient infrastructure, educated workforce, and social stability.